

23STCV29292 23STCV29292

County: los-angeles

Division: Civil Law and Motion

Department: 11

Hearing date: 2026-09-23

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SS%20%2C11%2C09%2F23%2F2026

Source SHA-256: f5f4829925ad6721ae639a4119a2938ee5bcf59c7de6570268bbf164ae2bd59d

Case Number: 23STCV29292 Hearing Date: September 23, 2026 Dept: 11

Final Approval of Class Action Settlement

Department SSC-11

Ali Concepcion v. Deanco Healthcare, LLC

Case

No.: 23STCV29292

Hearing: September 23, 2026

TENTATIVE RULING

The Court GRANTS final approval and awards/approves
as follows:

(1) \$515,469.81 (33 1/3%) for attorney fees to Class Counsel, Srourian Law Firm, P.C., Emery Reddy, PC, Morgan & Morgan Complex Litigation Group, and Maxey Law Firm, P.A.; (2) \$6,022.29 for attorney costs to Class Counsel; (3) enhancement awards of \$2,000 each to the class representatives, Ali Concepcion and Lisa Robert-McCharen; and (4) \$235,400 for settlement administration costs to Kroll Settlement Administration LLC.

Class Counsel is ordered to lodge a proposed Order consistent with this ruling and a separate judgment containing the class definition, release language, and the names of the class members who opted out of the settlement by _____, 2026.

BACKGROUND

This is a class action arising from a data security incident. Plaintiffs Ali Concepcion and Lisa Robert-McCharen sue Defendant Deanco Healthcare, LLC ("Deanco" or "Defendant"). Plaintiffs seek to represent a class of individuals whose Personally Identifying Information may have been compromised in the data breach that is the subject of the Notice of Security Breach that was sent by Defendant to Plaintiffs and Class Members on or around November 21, 2023 (the "Data Security Incident").

On or around November 21, 2023, Deanco issued a Notice of Security Incident acknowledging that it was the victim of a cyberattack perpetrated against it on or around May 1, 2023. Thereafter, Deanco launched an investigation and determined that an unauthorized person accessed information on its systems on or around May 1, 2023. The investigation resulted in the determination that files containing individuals' Private Information had been potentially accessed in the Data Incident, including address, date of birth, social security number, driver's license number, financial account information, health insurance plan member ID, claims data and clinical information about care with Deanco. The Data Incident affected approximately 269,847 individuals, including Plaintiffs.

On November 30, 2023, Plaintiff Ali Concepcion filed a class action complaint, Case No. 23STCV29292, alleging claims for: (1) Negligence; (2) Violation of Cal. Civ. Code 1798.82 (Customer Records Act); (3) Breach of Implied Contract; (4) Violation of the California Confidentiality of Medical Information Act; (5) Violation of California's Unfair Competition Law ("UCL"); and (6) Unjust Enrichment. Plaintiff Lisa Robert-McCharen alleged (1) Negligence; (2) Breach of Implied Contract; (3) Violation of the California Confidentiality of Medical Information Act; (4) Violation of California's Unfair Competition Law – Unlawful Business Practice; (5) Violation of California's Unfair Competition Law – Unfair Business Practice; and (6) Violation of Cal. Civ. Code 1798.82 (Customer Records Act).

On December 1, 2023, Plaintiff Lisa Robert-McCharen filed a putative class action against Defendant, Case No. 23STCV29517. On March 29, 2024, the class actions filed by Representative Plaintiffs Concepcion and Robert-McCharen were

consolidated into the Concepcion action.

On April 2, 2024, the parties informed the Court that they were in the process of selecting a mediator and the Court ordered the parties to participate in a mediation session by July 1, 2024. The parties began settlement negotiations directly for several weeks and ultimately reached an agreement without a formal mediation. The terms of settlement were finalized in the long-form Class Action Settlement Agreement and Release ("Settlement Agreement"), a copy of which was filed with the Court on December 20, 2024.

On March 9, 2026, after the parties filed several rounds of additional briefing and revisions to the Settlement Agreement to address concerns raised by the Court, preliminary approval of the settlement was granted. All references below are to the agreement attached as Exhibit 2 to the Second Further Supplemental Declaration of Daniel Srourian filed January 30, 2026.

Notice was given to the Class Members as ordered. (See Declaration of Elias Rose ("Rose Decl.")) Now before the Court is the Motion for Final Approval of the Settlement.

SETTLEMENT CLASS DEFINITION

"Settlement Class" and "Class" means all 269,847 individuals whose Personally Identifying Information may have been compromised in the data breach that is the subject of the Notice of Security Breach that was sent to Plaintiffs and Class Members on or around November 21, 2023 (the "Data Security Incident"). Excluded from the Settlement Class are: (1) the Judge(s) presiding over the Action and members of their immediate families and their staff; (2) Deanco and its subsidiaries, parent companies, successors, predecessors, and any entity in which Deanco, has a controlling interest; (3) natural persons who properly execute and submit a Request for Exclusion prior to the expiration of the Opt-Out Period; and (4) the successors or assigns of any such excluded natural person. (¶1.42)

"Data Security Incident" refers to the unauthorized access of Personally

Identifying Information that is the subject of the Action and that occurred on Deanco's computer systems on or around May 1, 2023. (¶1.13)

.

"Personally

Identifying Information" means information potentially compromised in the Data Security Incident, including Class Members' addresses, dates of birth, Social Security numbers, driver's license numbers, financial account information, health insurance plan member ID, claims data and clinical information about their care with Deanco. (¶1.32)

TERMS OF SETTLEMENT AGREEMENT

The essential terms are as follows:

.

The Settlement

Fund is \$1,546,409.42, non-reversionary. (¶3.1)

.

The Net

Settlement Fund ("Net") estimated at preliminary approval of \$715,766.12 is the Settlement Fund minus:

Up

to \$541,243.30 (35%) for attorneys' fees (¶9.1);

Up

to \$50,000 for attorneys' costs (Ibid.);

Up

to \$4,000 total [\$2,000 each] for Service Awards to the Class Representatives (¶8.1); and

o Up to \$235,400

for costs of settlement administration (¶1.2).

Claim

Requirement - Settlement Payments. Class Members may submit electronically verified Claim Forms to the Settlement Administrator through the Settlement Website or may download Claim Forms to be filled out, signed, and submitted physically by mail to the Settlement Administrator. Claim Forms must be submitted electronically or postmarked during the Claims Period and on or before the Claims Deadline. The Settlement Administrator shall reject any Claim Forms that are incomplete, inaccurate, or not timely received and will provide Claimants notice and the ability to cure defective claims, unless otherwise noted in this Agreement.

(¶7.1.a) Each Class Member may submit a claim for: (¶3.3)

o Documented Loss Payment: Class Members may submit a claim for actual out of pocket losses fairly attributable to the Data Security Incident (in accordance with the schedule below), cumulatively up to \$5,000 per individual. These losses must be accompanied by appropriate documentation, as determined by the administrator, to be valid. These losses must be justified and documented for tasks such as: (¶3.3.a)

§ (i) Long distance telephone charges.

§ (ii) Cell phone minutes (if charged by the minute).

§ (iii) Internet usage charges (if either charged by the minute or incurred solely as a result of the Data Security Incident).

§ (iv) Costs of credit reports purchased between May 1, 2023, and the claims deadline.

§ (v) Documented costs paid for credit monitoring services and/or fraud resolution services purchased between May 1, 2023, and the claims deadline, provided claimant provides sworn statement that the monitoring or service was purchased primarily because of the Data Security Incident and not for other purposes.

§ (vi) Documented expenses directly associated with dealing with identity theft or identity fraud related to the Data Security Incident.

§ (vii) Other documented losses incurred by Class Members that are fairly traceable to the Data Security Incident as determined by the Settlement Administrator.

§ (ix) Any claim submitted by a Class Member for a Documented Loss Payment that is deemed by the Settlement Administrator to be deficient (and which cannot be cured after a reasonable period of time) will be deemed to be a claim for a Residual Cash Payment, rather than be denied outright. (§13.3.a)

§ "Documented Loss" refers to monetary losses incurred by a Class Member and supported by Reasonable Documentation for attempting to remedy or remedying issues that are fairly attributable to Data Security Incident, as further described below. Documented Loss must be supported by Reasonable Documentation that a Class Member actually incurred unreimbursed losses and consequential expenses that are more likely than not a result of the Data Security Incident and incurred on or after May 1, 2023. (§11.14)

§ "Reasonable Documentation" means documentation supporting a claim for Documented Loss including, but not limited to, credit card statements, bank statements, invoices, telephone records, and receipts. (§11.35)

o Medical Monitoring Services: In addition to all other benefits provided for in §13.3, Class Members may submit a claim to receive the Medical Monitoring Services detailed in Section 1.24 herein for a period of two (2) years. Plaintiffs will not need to supply any documentary proof to select this option. (§13.3.b)

§ "Medical Monitoring Services" means the Cy Ex Medical Shield Complete 1 product which includes single bureau credit monitoring, Healthcare Insurance Plan ID Monitoring, Medicare Beneficiary Identifier ID Monitoring, Medical Record Number Monitoring, International Classification of Disease Monitoring, National Provider Identifier Monitoring, Health Savings Account Monitoring, Dark Web Monitoring, \$1,000,000 Identity Theft Insurance, Real-Time Authentication Alerts, High-Risk Transaction Monitoring, Security Freeze Assist, and Identity Theft Recovery Specialists. (§11.24)

o California Statutory Claim Benefits: In addition to all other benefits provided for in ¶3.3, Class Members who were residents of California at the time of the Data Security Incident, may submit a claim to receive a payment of \$100 from the Settlement Fund ("California Statutory Payment") in recognition of their statutory rights. Plaintiffs will be required to attest that they were a California resident at the time of the Data Security Incident to claim this benefit. (¶3.3.c)

o Residual Cash Payment: In addition to all other benefits provided for in ¶3.3, Class Members may submit a claim to receive a pro rata residual cash payment from the Settlement Fund ("Residual Cash Payment"). The amount of the Residual Cash Payment will be determined in accordance with the Plan of Allocation in Section 3.8 after amounts sufficient to pay valid claims for benefits and costs/expenses, including items detailed in Sections 3.18, 8, and 9 (and taxes, expenses, service awards, fees) have been deducted from the Settlement Fund. Plaintiffs will not need to supply any documentary proof to select this option. (¶3.3.d)

.

Deadline

to File Claims.

Claim Forms must be postmarked or received electronically within ninety (90) days after the Notice Date. For Settlement Class Members to whom Notice is returned by the USPS and re-mailed by the Settlement Administrator the Opt-Out Objection and Claims deadlines will be extended by fourteen days.

o "Claims Deadline" means the date by which all Claim Forms must be received to be considered timely and shall be set as the date ninety (90) days after the Notice Date. The Claims Deadline shall be clearly set forth in the Long Form Notice, the Summary Notice, the Claim Form, and the Court's order granting preliminary approval. (¶1.8)

o "Claim Form" means the form attached as Exhibit A, as approved by the Court. The Claim Form must be submitted physically (via U.S. Mail) or electronically (via the Settlement Website) by Class Members who wish to file a claim for their given share of the Settlement Benefits pursuant to the terms and conditions of this Agreement. The Claim Form shall be available for download from the Settlement Website. The Settlement Administrator shall mail a Claim Form, in hardcopy form, to any Class Member who so requests. (¶1.7)

.

Claims

Review. The

Settlement Administrator shall have the authority to determine whether a Claim Form is valid, timely, and complete. To the extent the Settlement Administrator determines a claim is deficient for a reason other than late posting, within a reasonable amount of time, the Settlement Administrator shall notify the Claimant (with a copy to Class Counsel) of the deficiencies and notify the Claimant that he or she shall have thirty (30) days to cure the deficiencies and re-submit the claim. No notification is required for late-posted claims. The Settlement Administrator shall exercise reasonable discretion to determine whether the Claimant has cured the deficient claim. If the Claimant fails to cure the deficiency, the claim shall stand as denied, and the Class Member shall be so notified if practicable. (§13.6)

o "Claimant" means a Class Member who submits a Claim Form for a Settlement Payment. (§11.6)

o "Approved Claim(s)" means a claim as evidenced by a Claim Form submitted by a Class Member that (a) is timely and submitted in accordance with the directions on the Claim Form and the terms of this Agreement; (b) is physically signed or electronically verified by the Class Member; (c) satisfies the conditions of eligibility for a Settlement Benefit as set forth herein; and (d) has been approved by the Settlement Administrator. (§11.4)

o Fraud Prevention: The Settlement Administrator shall use reasonable and customary fraud-prevention mechanisms to prevent (i) submission of Claim Forms by persons other than potential Class Members, (ii) submission of more than one Claim Form per person, and (iii) submission of Claim Forms seeking amounts to which the claimant is not entitled. In the event a Claim Form is submitted without a unique Class Member identifier, the Settlement Administrator shall employ reasonable efforts to ensure that the claimant is a Class Member and the claim is valid. Anyone who has a good faith belief that they are a Class Member but did not receive the Summary Notice from the Class Member will have a reasonable opportunity to provide proof that they are a Class Member. (§16.6)

.

Response Deadline: "Opt-Out Period" means the period in which a Class Member may submit a request to exclude him or herself from the Settlement ("Request for Exclusion"), pursuant to the terms and conditions herein, which shall expire sixty (60) days following the Notice Date. The deadline for filing a Request for Exclusion will be clearly set forth in the Settlement Class Notice. (§1.30) "Objection Deadline" means the date by which Class Members must postmark required copies of any written objections, pursuant to the terms and conditions herein, to this Settlement Agreement and to any application and motion for (i) the Fee Award and Costs, and (ii) the Service Awards, which shall be sixty (60) days following the Notice Date. The deadline for filing an objection will be clearly set forth in the Settlement Class Notice. (§1.29)

Funding

of the Settlement: Deanco shall make, or cause to be made, the payment of the cost of notice to the Settlement Class within thirty (30) days following preliminary approval and receipt of an invoice and payment instructions from the Settlement Administrator. Deanco shall make, or cause to be made, the payment of the balance of the Settlement Fund within thirty (30) days of the Effective Date. If final approval is not granted for any reason, the balance of the Settlement Account (after payment of costs associated with notice and administration necessary for the preliminary and final approval process), plus any interest earned on the Settlement Account, shall be returned to Deanco, within ten (10) days after such denial of final approval. (§3.1)

Distribution: Within ninety (90) days after: (i) the Effective Date; or (ii) all Claim Forms have been processed subject to the terms and conditions of this Agreement, whichever date is later, the Settlement Administrator shall cause funds to be distributed to each Class Member who is entitled to funds based on the selection made on their given Claim Form. (§3.7)

o It is the intention of the parties to distribute to Class Members as much of the Settlement Fund as practicable. Accordingly, the Settlement Fund shall be used to make payments in the following order: (i) all costs of claims administration (including applicable taxes, if any), (ii) Plaintiffs' counsel's fees and expenses and Court-approved service awards, (iii) the costs of providing the Medical Monitoring Services,

dedicated fraud specialists, and \$1,000,000 in identity theft and fraud insurance; (iv) approved claims for approved documented losses (up to \$5,000 per person); and (v) approved claims for California Statutory Payments. The remaining amount is the Net Settlement Fund. The amount of the Residual Cash Payments shall be the Net Settlement Fund divided by the number of valid claims submitted for that option. Any claims for out-of-pocket losses under Section 3.3 that were rejected for that category will also be eligible for the Residual Cash Payment under this formula, as opposed to being rejected outright. (§3.8)

Settlement

Payment Methods: Class

Members will be provided the option to receive any Settlement Payment due to them pursuant to the terms of this Agreement via various digital methods. In the event that Class Members do not exercise this option with the Settlement Administrator, they will receive their Settlement Payment via a physical check sent to them by U.S. Mail. (§3.4)

o Returned Payments: For any Settlement Payment

returned to the Settlement Administrator as undeliverable (including, but not limited to, when the intended recipient is no longer located at the address), the Settlement Administrator shall make one additional effort to make any digital payments and engage in a reasonable efforts to find a valid address (in the case of physical checks) and resend the Settlement Payment within thirty (30) days after the physical check is returned to the Settlement Administrator as undeliverable. The Settlement Administrator shall make one attempt to repay or resend a Settlement Payment. (§3.11)

Uncashed Settlement Checks: Class Members with Approved Claims who receive a Documented Loss Payment or Residual Cash Payment by physical check, shall have 180 days following distribution to deposit or cash their benefit check. (§3.9) The Settlement is designed to exhaust the Settlement Fund. To the extent any monies remain in the Net Settlement Fund more than 180 days after the distribution of all payments described above to the Class Members, the subsequent Residual Cash Payment will be evenly distributed to all Class Members with approved claims for monetary payments under paragraph 3.3 above and who cashed or deposited the initial payment they received, provided that the average check amount is equal to or greater than three dollars (\$3.00). The distribution of this remaining Net Settlement Fund shall continue until the

average check or digital payment amount in a distribution is less than three dollars (\$3.00), whereupon the amount remaining in the Net Settlement Fund, if any, shall be distributed in equal parts to Privacy Rights Clearinghouse, the cy pres recipient mutually agreed upon by the Parties and approved by the Court. (¶3.10)

.

The

Parties agree to use Kroll Settlement Administration, LLC as the Settlement Administrator. (¶1.40)

.

Release. Upon the

occurrence of the later of the Effective Date and Defendant paying the full amount of the Settlement Fund to the Settlement Administrator, and in consideration of the Settlement Benefits described herein, the Class Representatives and all Class Members identified in the Settlement Class List in accordance with Section 6.4, on behalf of themselves, their heirs, assigns, executors, administrators, predecessors, and successors, and any other person purporting to claim on their behalf, release and discharge all Released Claims against each of the Released Parties, and agree to refrain from instituting, directing or maintaining any lawsuit, contested matter, adversary proceeding, or miscellaneous proceeding against each of the Released Parties that relates to the Data Security Incident or otherwise arises out of the same facts and circumstances set forth in the operative Class Action Complaint in this Action.

This Settlement releases claims against only the Released Parties. This Settlement does not release, and it is not the intention of the Parties to this Settlement to release, any claims against any other unidentified third-party. Nor does this Release apply to any Class Member who timely excludes himself or herself from the Settlement, or to any Class Member (or the estate of any Class Member) who is deceased. (¶4.1)

o The

Parties understand that if the facts upon which this Agreement is based are found hereafter to be different from the facts now believed to be true, each Party expressly assumes that risk of such possible difference in facts and agrees that this Agreement shall remain effective notwithstanding such difference in facts. The Parties agree that in entering this Agreement, it is understood and agreed that each Party relies wholly upon its own judgment, belief, and knowledge and that each Party does not rely on inducements,

promises, or representations made by anyone other than those embodied herein.

(¶4.2)

o "Released

Claims" means any claim, liability, right, demand, suit, obligation, damage, including consequential damage, loss or cost, punitive damage, attorneys' fees, costs, and expenses, action or cause of action, of every kind or description - liquidated or unliquidated, legal, statutory, or equitable - that was asserted on behalf of the Settlement Class in the Action reasonably related to or arising from the Data Security Incident. (¶1.36)

o "Released

Parties" means (1) the Defendant; (2) each of Defendant's respective parents, subsidiaries, sibling entities, administrators, successors, reorganized successors, insurers, and members; (3) the current and former directors, officers, trustees, shareholders, employees, partners, contractors, agents, lenders, investors, and attorneys of each of the entities listed in categories (1) and (2) in this paragraph; and (4) current and former Deanco patients and/or customers, including the customer entities who used Deanco, including the entities listed in categories (1) and (2), for products or services that were used to process data relating to any of the individuals who may have been affected by the Data Security Incident. Each of the Released Parties may be referred to individually as a "Released Party." (¶1.37)

ANALYSIS OF SETTLEMENT AGREEMENT

A.

Does a presumption of fairness exist?

The Court preliminarily found in its Order of February 10, 2026 that the presumption of fairness should be applied. No facts have come to the Court's attention that would alter that preliminary conclusion.

Accordingly, the settlement is entitled to a presumption of fairness as set forth in the preliminary approval order.

B.

Is the settlement fair, adequate, and reasonable?

The settlement was preliminarily found to be

fair, adequate and reasonable. Notice has now been given to the Class.

Reaction of the class members to the proposed settlement.

Number of Class Members: 268,163 (Rose Decl., ¶4.)

Number of notice packets mailed: 268,163 (Id. at ¶9.)

Number of undeliverable notices: 23,062 (Id. at ¶11.)

Number of Claim Forms received: 5,950 (Id. at ¶14.)

Number of opt-outs: 2 (Id. at ¶17.)

Number of objections: 0 (Ibid.)

The Court finds that the notice was given as directed and conforms to due process requirements. Given the reactions of the Class Members to the proposed settlement and for the reasons set for in the Preliminary Approval order, the settlement is found to be fair, adequate, and reasonable.

C. Attorney Fees and Costs

Class

Counsel requests an award of \$541,243.30 (35%) in fees and \$6,022.29 in costs. (Memo ISO Plaintiffs'

Motion for Service Awards, Attorney's Fees, and Expenses at 4:20-21, 6:13.) The Settlement Agreement provides for up to \$541,243.30 (35%) of the GSA for attorney fees and \$50,000 in costs (¶9.1).

"Courts

recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method." (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 254.) Here, class counsel

request attorney fees using the percentage method, as crosschecked by lodestar.
(Memo ISO Plaintiffs' Motion for Service Awards, Attorney's Fees, and
Expenses at pp. 3-6.)

In
common fund cases, the Court may employ a percentage of the benefit method, as
cross-checked against the lodestar. (Laffitte
v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) The fee
request represents 35%
of the gross settlement amount, which is above the average generally awarded in
class actions. (See In re Consumer Privacy Cases (2009) 175
Cal.App.4th 545, 558, fn. 13 ["Empirical studies show that, regardless whether
the percentage method or the lodestar method is used, fee awards in class
actions average around one-third of the recovery."].)

Class
Counsel has provided information, summarized below, from which the lodestar may
be calculated:

Firm

Rates

Hours

Totals

Srourian
Law Firm

\$950

158.8

\$150,860.00

Emery
Reddy

\$238-1,025

136.9

\$100,997.00

Morgan
& Morgan

\$385-1,019

70.1

\$69,893.20

Maxey
Law Firm

\$1,019

66.1

\$67,355.90

Totals

431.9

\$389,106.10

(See Declarations and Supplemental Declarations of Daniel Srourian, M. Anderson Berry, Patrick A. Barthle II, and Ryan D. Maxey filed in Support of Plaintiffs' Motion for Service Awards, Attorney's Fees, and Expenses.)

Counsel's

percentage-based fee request is higher than the unadjusted lodestar, and would represent application of a multiplier of approximately 1.39x to reach. Notice of the fee request was provided to class members in the notice packet, and no one objected. (Rose Decl., ¶17, Exhibits B-C.)

Fee

Split: Class Counsel have agreed to split the attorneys' fees as follows: a. Srourian Law Firm, P.C.: 25% b. Emery Reddy Berry: 25% c. Morgan & Morgan: 25% d. Maxey Law Firm: 25%. Both class representatives, Ali Concepcion and Lisa Robert-McCharen, have provided written consent to this fee split. (Second Further Supp. Decl. of Daniel Srourian ISO Prelim, ¶10.)

The 35% fee request is at the higher end of percentages ordinarily approved in cases of this type. Fees are instead set at 33 1/3% of the GSA or \$515,469.81, resulting in a multiplier of 1.32x, which is ample given that it is already in excess of the lodestar and rewards counsel for any risk they took in this case.

As for costs, Class Counsel is requesting a cost amount of \$6,022.29. This is less than the \$50,000 cap provided for at preliminary approval, which was disclosed to Class Members in the Notice and not objected to. (Rose Decl., ¶17, Exhibits B-C.) Counsel represent that costs include, but are not limited to: filing fees, service of process, and pro hac vice fees. (Declarations of Daniel Srourian, M. Anderson Berry, Patrick A. Barthle II, and Ryan D. Maxey filed in Support of Plaintiffs' Motion for Service Awards, Attorney's Fees, and Expenses.) The costs incurred appear to be reasonable in amount and reasonably necessary to this litigation.

Based on the above, the court will award \$515,469.81 in fees and \$6,022.29 in costs.

D. Incentive Awards

The class representatives, Ali Concepcion and Lisa Robert-McCharen, seek enhancement payments of \$2,000 each for their contributions to the action. (Memo ISO Plaintiffs' Motion for Service Awards, Attorney's Fees, and Expenses at 3:4.)

In connection with the final fairness hearing, named Plaintiffs must submit declarations attesting to why they should be entitled to an enhancement award in the proposed amount. The named Plaintiffs must explain why they "should be compensated for the expense or risk he has incurred in conferring a

benefit on other members of the class.”

(Clark v. American Residential Services LLC (2009) 175

Cal.App.4th 785, 806.) Trial courts

should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’

Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id.

at 806-807, italics and ellipsis in original.)

Each Plaintiff represents that his or her contributions to this litigation include: assisting in the investigation of the case, maintaining contact with counsel, reviewing the pleadings, answering counsel's questions, communicating with counsel during the settlement negotiations, and reviewing the terms of the Settlement Agreement. (Declarations of Ali Concepcion and Lisa Robert-McCharen filed ISO Prelim Approval.)

Based on the above, as well as the benefits obtained on behalf of the class, the recommendation is to grant the enhancement payments in the amount of \$2,000 to each Plaintiff.

E.

Settlement Administration Costs

The settlement administrator, Kroll Settlement Administration LLC, estimates total notice and administration fees and expenses of approximately \$253,748, with a not-to-exceed amount of \$270,800. (Rose Decl., ¶18.) This exceeds the original not-to-exceed amount of \$235,400 provided for in the settlement agreement (¶1.2) and disclosed to class members in the Notice, to which there were no objections. (Rose Decl., ¶17, Exhibits B-C.)

The administrator asserts that Kroll's original estimate of \$219,882.70 for

administration of this Settlement, with a not-to-exceed amount of \$235,400.00, was provided in November 2024, prior to the filing of Plaintiffs' Motion for Preliminary Approval of this Settlement in December 2024. Following entry of the Preliminary Approval Order in March 2026, the administrator asserts that they provided an updated estimate in May 2026 to reflect the increase in out-of-pocket postage costs due to USPS postage increases between November 2024 and May 2026, as well as the increased number of notices to be sent by mail based on the actual data received by Kroll. (Rose Decl., ¶18.) This cost increase was not disclosed to the Court, nor reflected in the Notice forms made available to the Class.

The Court is not inclined to award fees and costs which exceed the amounts previously disclosed to the Class during the notice process.

Based

on the above, the court

will award the original capped amount of \$235,400 that was provided for at preliminary approval and already disclosed to the Class on the notice.